

ADANIPOWER — deep fundamental & forensic brief (consolidated)

Report generated 29-Sep-2026. All figures ₹ crore unless noted. History depth is data-bound: P&L is multi-year; balance sheet & cash flow are present only for years where the result XBRL carried them (typically FY2023+).

Business overview

What the company does

Adani Power Limited (APL) is India's largest private thermal power producer, with an operating portfolio of coal-based power plants across multiple states. The company generates revenue by selling electricity through two primary channels: the majority is sold via long-term and medium-term Power Purchase Agreements (PPAs) with state distribution companies (DISCOMs), which provide stable, availability-based income. A smaller portion of its power is sold on the short-term merchant market, allowing it to capture upside from dynamic spot pricing.

Business segments & revenue mix

Adani Power operates as a single segment focused on thermal power generation. While a formal revenue breakdown is not disclosed, the company's sales volume mix provides a clear view of its business structure. Based on the latest full-year data for FY26, sales were divided between:

- **Contracted Power (PPAs):** ~79% of sales volume, sold under long- and medium-term contracts that ensure revenue stability and high asset utilisation (Revised Results Presentation, Q1 FY27, pg 3).
- **Merchant & Short-Term Power:** ~21% of sales volume, sold on power exchanges and through bilateral agreements, providing exposure to market prices (Revised Results Presentation, Q1 FY27, pg 3).

The company's asset base comprises plants with a mix of technologies, with ~60% of its operating capacity being more efficient Supercritical or Ultra-Supercritical units (Investor Presentation, Sept 2026, pg 8).

Market size & positioning

With a market capitalisation of ~₹378,250 crore, Adani Power is a key player in India's power sector. As of September 2026, the company has an operating capacity of 18.33 GW, making it the country's largest private thermal power producer (Investor Presentation, Sept 2026, pg 9). This portfolio represents an approximate 7% share of India's total installed baseload (thermal and gas) capacity of ~251 GW.

The company has a significant growth runway, with stated plans to more than double its current size. Management has outlined a target to expand its total portfolio to 45 GW, supported by a "locked-in" development pipeline of 23.7 GW in new thermal projects (Q1 FY27 Concall; Investor Presentation, Sept 2026, pg 8). Beyond its core thermal business, APL is diversifying into new energy sources, targeting 5 GW of hydroelectric capacity in Bhutan and 10 GW of nuclear power capacity by 2035, positioning itself for India's long-term energy needs (Q1 FY27 Concall, pg 5, 7; Revised Results Presentation, Q1 FY27, pg 16).

1. Income statement

Income statement	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue from operations	26,221	27,711	38,773	50,351	56,203	54,241
Other income	1,928	3,975	4,267	9,930	2,703	3,625
Total income	28,150	31,686	43,041	60,281	58,906	57,865
COGS (materials+purchases+Δinv)	15,146	15,308	25,695	28,675	30,630	29,378
Employee benefit expense	432	470	570	644	784	855
Finance costs	5,106	4,095	3,334	3,388	3,340	3,367
Depreciation & amortisation	3,202	3,118	3,304	3,931	4,309	4,565
Other expenses	1,975	2,119	2,464	2,852	3,483	4,202
Total expenses	25,861	25,109	35,366	39,490	42,546	42,366
EBITDA	10,597	13,789	14,312	28,111	24,008	23,431
EBIT	7,395	10,672	11,008	24,180	19,699	18,866
Profit before excep. & tax	2,289	6,577	7,675	20,792	16,360	15,500
Exceptional items	0	0	0	0	0	0
Profit before tax	2,289	6,577	7,675	20,792	16,360	15,500
Current tax	21	768	-768	14	56	1,544
Deferred tax	997	897	-2,284	-51	3,553	984
Total tax	1,019	1,666	-3,052	-37	3,610	2,528
Net profit (PAT)	1,270	4,912	10,727	20,829	12,750	12,971
Comprehensive income	1,240	4,955	10,760	20,801	12,747	12,991

2. Profitability, margins & growth

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Gross margin	42.2%	44.8%	33.7%	43.1%	45.5%	45.8%
EBITDA margin	40.4%	49.8%	36.9%	55.8%	42.7%	43.2%
EBIT margin	28.2%	38.5%	28.4%	48.0%	35.1%	34.8%
PBT margin	8.7%	23.7%	19.8%	41.3%	29.1%	28.6%
Net margin	4.8%	17.7%	27.7%	41.4%	22.7%	23.9%
Effective tax rate	44.5%	25.3%	n/a	n/a	22.1%	16.3%
Revenue YoY	n/a	5.7%	39.9%	29.9%	11.6%	-3.5%
PAT YoY	n/a	286.7%	118.4%	94.2%	-38.8%	1.7%
Other income / PBT	84.2%	60.4%	55.6%	47.8%	16.5%	23.4%

3. Balance sheet

Balance sheet	FY2023	FY2024	FY2025	FY2026
Property, plant & equipment	50,544	62,813	69,027	69,076
Non-current assets (total)	66,268	66,738	86,588	113,592
Inventories	3,075	4,142	3,317	3,623
Trade receivables (current)	11,529	11,677	13,022	11,791
Cash & equivalents	349	1,136	320	928
Current assets (total)	19,553	25,587	26,313	28,688
Total assets	85,821	92,325	112,918	142,280
Equity share capital	3,857	3,857	3,857	3,857
Other equity (reserves)	26,019	39,288	52,490	61,080
Total equity	29,876	43,145	57,674	66,402

Balance sheet	FY2023	FY2024	FY2025	FY2026
Borrowings — non-current	33,703	26,595	27,647	42,830
Borrowings — current	8,549	7,862	10,688	10,726
Total debt	42,252	34,457	38,335	53,556
Trade payables (current)	3,079	3,636	2,978	2,841
Current liabilities (total)	17,745	15,789	16,441	20,328
Non-current liabilities (total)	38,201	33,391	38,803	55,550
Total liabilities	55,946	49,180	55,244	75,878
Net debt (debt – cash)	41,903	33,321	38,015	52,628

4. Returns, leverage & liquidity

Metric	FY2023	FY2024	FY2025	FY2026
ROE (PAT/equity)	35.9%	48.3%	22.1%	19.5%
ROCE (EBIT/(eq+debt))	15.3%	31.2%	20.5%	15.7%
ROIC (EBIT(1–t)/(eq+debt–cash))	21.4%	31.7%	16.0%	13.3%
ROA (PAT/assets)	12.5%	22.6%	11.3%	9.1%
Debt / equity	1.41x	0.80x	0.66x	0.81x
Net debt / EBITDA	2.93x	1.19x	1.58x	2.25x
Interest coverage (EBIT/int)	3.3x	7.1x	5.9x	5.6x
Current ratio	1.10x	1.62x	1.60x	1.41x
Quick ratio	0.93x	1.36x	1.40x	1.23x

5. Working capital & cash conversion

Metric (days)	FY2023	FY2024	FY2025	FY2026
Receivable days	109	85	85	79
Inventory days	44	53	40	45
Payable days	44	46	35	35
Cash conversion cycle	108	91	89	89
Asset turnover (Rev/assets)	0.45x	0.55x	0.50x	0.38x

6. Cash flow statement

Cash flow	FY2022	FY2023	FY2024	FY2025	FY2026
CFO — operating	10,233	8,431	14,170	21,501	20,514
CFI — investing	774	1,545	3,485	-17,142	-26,461
CFF — financing	-10,338	-10,408	-16,864	-5,175	6,555
Capex (PP&E purchase)	3,435	3,244	2,602	11,559	23,299
Borrowings raised	13,332	21,205	24,568	6,556	20,500
Borrowings repaid	19,728	28,148	30,598	3,352	5,400
Dividends paid	0	0	0	0	0
Net change in cash	669	-433	787	-816	608

7. Free cash flow & earnings quality

Metric	FY2022	FY2023	FY2024	FY2025	FY2026
FCF (CFO–Capex)	6,798	5,187	11,568	9,942	-2,785
FCFF (CFO–Capex+Int(1–t))	9,856	9,846	14,962	12,545	32
FCFE (CFO–Capex+NetBorrow)	403	-1,756	5,538	13,146	12,315

Metric	FY2022	FY2023	FY2024	FY2025	FY2026
CFO / PAT	2.08x	0.79x	0.68x	1.69x	1.58x
CFO / EBITDA	74%	59%	50%	90%	88%
Accruals ((PAT – CFO)/assets)	n/a	2.7%	7.2%	-7.8%	-5.3%

Rolled cash quality (most recent window):

- 3-yr CFO/PAT: 1.21x · 5-yr CFO/PAT: 1.20x
- 3-yr CFO/EBITDA: 74% · 5-yr CFO/EBITDA: 72%

8. Quarterly P&L trend (last 8q)

Quarter	2024-09-30	2024-12-31	2025-03-31	2025-06-30	2025-09-30	2025-12-31	2026-03-31	2026-06-30
Revenue (₹cr)	13,339	13,671	14,237	14,109	13,457	12,451	14,223	18,902
Net profit (₹cr)	3,298	2,940	2,599	3,305	2,906	2,488	4,271	4,867
Net margin	24.7%	21.5%	18.3%	23.4%	21.6%	20.0%	30.0%	25.7%
EBITDA margin	45.0%	45.2%	35.9%	43.6%	44.6%	38.4%	45.7%	44.3%
Rev YoY	2.7%	5.2%	6.5%	-5.7%	0.9%	-8.9%	-0.1%	34.0%
PAT YoY	-50.0%	7.4%	-5.0%	-15.5%	-11.9%	-15.4%	64.3%	47.2%
Interest cover	6.1x	5.2x	5.3x	5.9x	5.7x	5.2x	5.5x	8.0x

9. Forensic deep-dive

- **Altman Z = 4.48 — safe.** Bankruptcy-distance score (>2.99 safe · 1.81–2.99 grey · <1.81 distress); calibrated for manufacturers, so asset-heavy giants can read low.
- **Piotroski F = 5/9 — middling.** 9-point fundamental-strength checklist. Passed: roa_pos, cfo_pos, accrual_cfo>ni, no_dilution, d_grossmargin_up. Failed: d_roa_pos, d_leverage_down, d_currentratio_up, d_assetturnover_up.
- **Beneish M = -2.49 — clean (≤ -1.78).** Statistical earnings-manipulation screen (a flag to dig, not proof — corroborate with accruals/receivables/cash).
- **Sloan accruals = -5.2% of avg assets — good.** Non-cash part of earnings (cash-flow accruals -5.3%); near-zero/negative = earnings cash-backed, high positive = aggressive.
- **Promoter pledge (as of 30-Jun-2026):** promoter holds 75.0%; **3.1% of that is pledged** (good) — 0% ideal, >50% a serious red flag.

- **Contingent liabilities & related-party transactions:** these aren't in the structured XBRL that builds the tables above — they're disclosed only in the **notes to accounts**. They are **not skipped**: the **Analysis section below reads them directly from the filing PDFs** and calls out anything material (large or opaque related-party dealings, sizeable contingent claims). See its forensic assessment for this company's specifics — a blank there means nothing material was disclosed, not that it wasn't checked.

Insider & promoter trades (recent)

- *Recent activity is routine (off-market / designated-person ESOP); no material promoter/open-market signal.*
-  Promoter Group Hibiscus Trade And Investment Ltd. — Buy ₹215.60 cr (Market Purchase); 0.24%→0.32% · 08-Aug-2024
-  Promoter Group Hibiscus Trade And Investment Ltd. — Buy ₹285.80 cr (Market Purchase); 0.13%→0.24% · 07-Aug-2024
-  Promoter Group Hibiscus Trade And Investment Ltd. — Buy ₹357.53 cr (Market Purchase); 0.00%→0.13% · 07-Aug-2024
-  Promoter Group Gautam S. Adani & Rajesh S. Adani (On Behalf Of S.B. Adani Family Trust) — Pledge Revoke ₹8,638.46 cr (Revocation of Pledge); 36.86%→36.86% · 08-May-2024
-  Promoter Group Ardour Investment Holding Ltd. — Buy ₹341.16 cr (Market Purchase); 0.23%→0.47% · 28-Sep-2023
-  Promoter Group Ardour Investment Holding Ltd. — Buy ₹340.84 cr (Market Purchase); 0.00%→0.23% · 28-Sep-2023
-  Promoter Group Fortitude Trade And Investment Ltd. — Buy ₹122.88 cr (Market Purchase); 0.00%→0.09% · 06-Sep-2023
-  Promoter Group Gautam S. Adani & Rajesh S. Adani (On Behalf Of S.B. Adani Family Trust) — Pledge Revoke ₹8,525.13 cr (Revocation of Pledge); 36.86%→36.86% · 05-Sep-2023
-  Director Mukesh Shah — Buy 500 sh (Market Purchase); 0.01%→0.01% · 27-Feb-2023
-  Director Mukesh Shah — Buy ₹0.02 cr (Market Purchase); 0.01%→0.01% · 25-Feb-2023
-  Promoter Group Adani Tradeline Private Limited — Buy 377,180,885 sh (Others); 0.00%→9.78% · 07-Jul-2022
-  Promoter Group Gautam S. Adani / Rajesh S. Adani (On Behalf Of S. B. Adani Family Trust) — Pledge Revoke ₹375.06 cr (Revocation of Pledge); 36.43%→36.43% · 20-Jul-2021
-  Promoter Group Adani Tradeline Llp — Pledge Revoke ₹145.43 cr (Revocation of Pledge); 9.78%→9.78% · 13-Apr-2021
-  Promoter Group Adani Tradeline Llp — Pledge Revoke ₹23.13 cr (Revocation of Pledge); 9.78%→9.78% · 08-Mar-2021
-  Promoter Group Universal Trade And Investments Ltd. — Sell ₹358.80 cr (Inter-se-Transfer); 1.88%→0.00% · 07-Jan-2021
-  Promoter Group Flourishing Trade And Investment Limited — Buy ₹358.80 cr (Inter-se-Transfer); 9.58%→11.46% · 07-Jan-2021
-  Promoter Group Universal Trade And Investments Ltd. — Sell ₹1,046.55 cr (Off Market); 7.55%→1.88% · 01-Jan-2021
-  Promoter Group Flourishing Trade And Investment Limited — Buy ₹1,046.55 cr (Off Market); 3.92%→9.58% · 01-Jan-2021
-  Promoter Group Adani Tradeline Llp — Pledge Revoke ₹137.93 cr (Revocation of Pledge); 9.78%→9.78% · 10-Dec-2020
-  Director Raminder Singh Gujral — Sell ₹0.07 cr (Market Sale) · 04-Dec-2020

Shareholding — who actually owns it (as of 30-Jun-2026)

Promoter & promoter group (74.96% across 8 accounts, highest→lowest):

Holder	%	What it is
GAUTAMBHAI SHANTILAL ADANI & RAJESHBHAI SHANTILAL ADANI (ON BEHALF OF S. B. ADANI FAMILY TRUST)	36.86%	 trust

Holder	%	What it is
FLOURISHING TRADE AND INVESTMENT LTD	11.46%	other foreign shareholders
ADANI TRADELINE PRIVATE LIMITED	10.34%	🔒 unlisted pvt company
EMERGING MARKET INVESTMENT DMCC	6.74%	other foreign shareholders
WORLDWIDE EMERGING MARKET HOLDING LIMITED	3.79%	other foreign shareholders
ARDOUR INVESTMENT HOLDING LTD	3.68%	other foreign shareholders
FORTITUDE TRADE AND INVESTMENT LTD	1.71%	other foreign shareholders
HIBISCUS TRADE AND INVESTMENT LTD	0.38%	other foreign shareholders

Public holders above 1% (5 disclosed, highest→lowest):

Holder	%	What it is
OPAL INVESTMENT PVT LTD	3.52%	foreign companies
GOLDMAN SACHS TRUST II - GOLDMAN SACHS GQG PARTNER	3.03%	🌐 FPI
SBI NIFTY 500 INDEX FUND	1.61%	🏠 mutual fund
GQG PARTNERS EMERGING MARKETS EQUITY FUND	1.29%	🌐 FPI
QUANT MUTUAL FUND - QUANT QUANTAMENTAL FUND	1.04%	🏠 mutual fund

From the company's SEBI Reg-31 shareholding-pattern XBRL on NSE (primary). 'LISTED company' means the holder itself trades on NSE — the way Elcid Investments held ~3% of Asian Paints.

Ownership changes (Mar-2026 → Jun-2026)

These moves happened while the stock traded **₹157–249** (~₹215 avg) that quarter — so that's roughly where they added / trimmed. Now **₹196** (within that zone).

-  **New: SBI NIFTY 500 INDEX FUND** (mutual fund) ★ — 0.00% → 1.61% (+1.61pp)
-  **New: QUANT MUTUAL FUND - QUANT QUANTAMENTAL FUND** (mutual fund) ★ — 0.00% → 1.04% (+1.04pp)
-  **Trimmed: GOLDMAN SACHS TRUST II - GOLDMAN SACHS GQG PARTNER** (FPI) ★ 3.31% → 3.03% (-0.28pp)
-  **Trimmed: GQG PARTNERS EMERGING MARKETS EQUITY FUND** (FPI) ★ 1.49% → 1.29% (-0.20pp)
-  **Exited: SBI EQUITY HYBRID FUND** (mutual fund) ★ — 1.77% → 0.00% (–1.77pp)

- **Exited: QUANT MUTUAL FUND-QUANT ELSS TAX SAVER FUND** (mutual fund) ★ — 1.23% → 0.00% (–1.23pp)

Diff of the two most recent SEBI Reg-31 shareholding filings. ★ = notable (promoter / mutual fund / FPI / insurer / listed-company holder) — real conviction or distribution, above retail churn.

💰 Smart-money cost & profit-booking risk

At ₹196, the institutions whose cost we can estimate (from the quarters they added, Sep-2022→Jun-2026) are ● ~+54% gains — **elevated profit-booking risk** on a stake-weighted basis.

Holder	Type	Stake	Est. cost zone	Now vs cost
GOLDMAN SACHS TRUST II - GOLDMAN SACHS GQG PARTNER	FPI	3.03%	₹107–107 (~₹107)	● ~+84% gains — elevated profit-booking risk
GQG PARTNERS EMERGING MARKETS EQUITY FUND	FPI	1.29%	₹107–107 (~₹107)	● ~+84% gains — elevated profit-booking risk
EMERGING MARKET INVESTMENT DMCC	other foreign shareholders	6.74%	₹113–170 (~₹124)	● ~+58% gains — elevated profit-booking risk
FORTITUDE TRADE AND INVESTMENT LTD	other foreign shareholders	1.71%	₹113–170 (~₹124)	● ~+58% gains — elevated profit-booking risk
SBI NIFTY 500 INDEX FUND	mutual fund	1.61%	₹157–249 (~₹215)	● ~9% below cost — underwater, no selling pressure
QUANT MUTUAL FUND - QUANT QUANTAMENTAL FUND	mutual fund	1.04%	₹157–249 (~₹215)	● ~9% below cost — underwater, no selling pressure

Plus 3 large holder(s) (e.g. promoters / long-term funds) already holding in our earliest snapshot — they **entered before our data, so their cost is unknown** and isn't guessed.

Exact transaction prices aren't disclosed; a holder's cost is **inferred** from the price range of the quarter(s) they added in (SEBI Reg-31 filings are quarterly). Near cost = little selling pressure; large gains = watch for profit-booking unless the stock is still in a strong uptrend. Coverage deepens as more shareholding history is ingested.

🏢 Inside view — employee & management sentiment

Employee sentiment: ● **C (Average)** · **Management:** ● **D (Below-par)** — from employee reviews.

- Overall **3.76/5** · **-0.14 vs industry** (peers 3.90) · **2.9k reviews** (high confidence) · CEO Vneet S. Jaain
- Sub-ratings: work-life 3.55 · salary 3.68 · job-security 3.68 · career-growth 3.31 · culture 3.48 · work-satisfaction 3.52 · skill-dev 3.69
- 70% rated 4★+** · 15% rated 1–2★
- Weak internal sentiment** (-0.14 vs its industry) — employees rate it below peers; watch for attrition, culture or execution risk behind the numbers.

Employee-reported (AmbitionBox) — a **culture/management signal, not a financial metric**. Each of the two scores is graded A→E, leaning on the gap vs the company's **own industry** (so beating/lagging peers matters more than the raw star rating). Verify against the source.

10. Valuation

- Market cap **₹378,250 cr** · sector: Power
- **Valuation lens for this business: EV/EBITDA on mid-cycle margins** — the right lens for an asset-heavy / cyclical business, because trailing P/E is misleading at cycle peaks and troughs.

Each multiple on its own line, with what it says here — and whether that reads cheap or dear:

- **P/E (TTM) = 26.0** — rupees paid today for ₹1 of the last twelve months' profit. Lower looks cheaper, but a low P/E can equally signal a cyclical earnings peak or a value trap, so it only means something *against the stock's own history and its peers*, never on its own.
- **P/B = 5.70** — rupees paid for ₹1 of net worth (book value). This is the primary lens for banks/NBFCs, where it must be read *together with ROE* — a higher P/B is only justified by a durably higher ROE.
- **Earnings yield = 3.84%** — the inverse of P/E: annual profit as a percentage of the price you pay. Compare it to the ~7% 10-year government-bond yield (your risk-free alternative) — well below 7% means you are paying up for future growth; near or above it means the earnings are cheap today.
- **EV/EBITDA = 16.8xx, or 16.3xx on mid-cycle margins** — enterprise value (market cap + net debt ₹52,628 cr) per ₹1 of operating profit. It strips out leverage, so it is the fair lens for capital-heavy / cyclical names — judge it on the mid-cycle figure, not a single peak or trough year.
- Δ *Share count is from the FY2026 annual filing, with no split, bonus or rights issue on record since. Buybacks, QIPs and ESOP allotments after that filing aren't reflected.*
- P/E 26.0 — **100th percentile** of its 4-yr range (rich vs its own history)
- **Forward — on management's FY31 guidance (Q4FY26 concall):** forward EV/EBITDA ~8.6x (EBITDA ₹50,000 cr)
- Sector (Integrated Power Utilities): insufficient peer data (2 peers with comparable P/E) — sector percentile omitted; see the peer table below

Peer comparison — by market-cap tier

Peers share this company's NSE industry classification, grouped by size (bands shown), up to 5 peers per tier ranked by market cap. Company names are shown, not tickers; $\blacktriangleleft$ marks the company this report is about (always listed in its own tier).

Large cap ($\geq$ ₹50,000 cr)

Company	M-cap (₹cr)	P/E	P/B	ROE%	ROCE%	NetMargin%	D/E
Adani Power Ltd. $\blacktriangleleft$	378,250	26.0	5.7	19.5	15.7	23.9	0.8
Tata Power Co. Ltd.	115,649	22.0	2.4	10.8	8.4	8.2	1.5
Torrent Power Ltd.	62,343	25.2	3.2	12.5	12.7	8.5	0.7

Mid cap (₹10,000–50,000 cr)

Company	M-cap (₹cr)	P/E	P/B	ROE%	ROCE%	NetMargin%	D/E
CESC Ltd.	18,112	11.2	1.4	12.3	10.1	8.7	1.6

How to read the valuation numbers. The three multiples above each answer a different question, and none of them means much in isolation — a number only becomes cheap or dear next to the company's own history and its peers. Beyond the multiples themselves, two supporting reads matter. The **own-history percentile** places today's multiple within the stock's own past range, which is more intuitive than a raw median: below the 35th percentile is cheap relative to itself, above the 65th is rich. The **forward multiple**, when it appears, is the same ratio computed on the profit management has *explicitly guided* for next year — it shows up only when there is real guidance to anchor it, so it is a genuine signpost rather than a projection we invented. Finally, the **valuation lens** named above is chosen automatically from the company's sector, because the fair yardstick differs by business: P/B-on-ROE for financials, EV/EBITDA on mid-cycle margins for asset-heavy cyclical, and P/E for everything else.

11. Valuation — what the price implies (reverse-DCF)

- **Reverse-DCF (the centrepiece):** at today's price the market is pricing in ~28.1% perpetual revenue growth, vs ~11.1% delivered historically — **demanding**. If the company can clear that implied bar the stock is cheap; if not, it's rich.
- *Cross-check* — Monte-Carlo FCFF-DCF: intrinsic ₹93 (median; p10–p90 ₹42–176) vs price ₹196 → price 2.1x the DCF median (no margin of safety); scenario bear/base/bull ₹34 / 94 / 210.
- DCF drivers: growth 11.1% · EBIT margin 37.0% · WACC 12.5% (β 1.17) · terminal g 5.0% · net debt ₹52,628 cr.

How to read this section. A discounted-cash-flow (DCF) values a business as the present value of all the cash it will hand its owners over time. Rather than *guess* that future cash, the reverse-DCF flips the question — it solves for the growth rate today's *price* already assumes, then asks whether that bar is realistic next to what the company has actually delivered. That is the more robust read, which is why it leads: if the company can clear the implied bar the stock is cheap, and if it cannot, the stock is rich. The Monte-Carlo cross-check does the opposite — it runs thousands of scenarios, varying growth, margin and the discount rate, to produce an intrinsic-value *range* rather than a single false-precision number; the margin of safety is simply how far the current price sits below that range (your cushion for being wrong), and a price above the range means you are paying a premium with no cushion at all. Two inputs drive it: WACC is the blended cost of the company's debt and equity (the rate future cash is discounted at), and terminal growth is the modest rate that cash is assumed to compound at forever after the explicit forecast. For lenders and deeply cyclical or capex-heavy names a point-estimate DCF is unreliable, so there the reverse-DCF and the \$10 multiples carry the weight — and in every case a DCF is assumption-driven, so read the range, never a single point.

12. Statistical forensics

- Benford first-digit conformity: MAD 0.0082 → **acceptable conformity** (n=1952).
- Sector-relative z-scores (Integrated Power Utilities, vs 6 ratios over peers):

Ratio	Value	Peer mean	z
P/E	26.03	19.48	1.09

Ratio	Value	Peer mean	z
P/B	5.70	2.32	4.59
ROE%	19.53	11.85	9.88
ROCE%	15.73	10.39	2.99
NetMargin%	23.91	8.48	72.46
D/E	0.81	1.27	-1.14

How to read this section. Benford's Law observes that in large sets of naturally occurring financial figures the *leading* digit is not uniform: a 1 starts a number about 30% of the time and a 9 only about 5%. The MAD (mean absolute deviation) score measures how far the company's reported numbers stray from that expected shape — a low MAD means they conform and look natural, while a high MAD means the numbers look 'engineered'. It is only ever a soft flag to dig into, never proof of anything on its own. The sector z-scores then place each of the company's ratios in standard deviations from the peer average: within one standard deviation is in line with peers, while beyond two is a genuine outlier. Read the direction with the metric — a high z-score is good for ROE, ROCE and margins, reads as expensive for P/E and P/B, and means more leverage for debt-to-equity.

13. Technical snapshot

- Close ₹196.14 · SMA20/50/200 206/208/186 · RSI 38 · -21.2% from 52w high
- Signals: above 200-DMA (uptrend), 50>200 (golden-cross regime), RSI neutral (38), MACD bearish, delivery% normal

How to read this section. The SMA 20, 50 and 200 are the average closing prices over the last 20, 50 and 200 trading days, smoothing out daily noise to reveal the underlying trend: a price above the 200-day average signals a long-term uptrend, and the 50-day crossing above the 200-day is a bullish 'golden cross' regime (the reverse being a bearish 'death cross'). RSI(14) measures momentum on a 0–100 scale, where above 70 is overbought, below 30 is oversold, and roughly 40–60 is neutral. The '% from 52-week high' shows how far the stock has pulled back from its recent peak. Taken together, technicals describe price behaviour and timing — they complement, never replace, the fundamentals and valuation above.

14. Notes

- Statements are consolidated; pass the consolidated flag for group-level figures.
- COGS, EBITDA and FCFF/FCFE use documented approximations (COGS=materials+purchases+ Δ inv; EBITDA=PBT+interest+depreciation; FCFF adds back after-tax interest; FCFE adds net borrowing).

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Analysis

Here is a deep-dive forensic and fundamental review of Adani Power Limited.

1. Earnings quality & cash conversion 💰

This section assesses if the reported profits are backed by actual cash, which is a crucial sign of high-quality earnings. We look at cash from operations (CFO) versus net profit (PAT), capex intensity, and free cash flow generation.

Adani Power's earnings quality appears robust at the core operating level, though the company is currently in a phase of intense, debt-funded capital expenditure that is consuming all its internally generated cash and more.

- **Cash Flow vs. Profit (CFO/PAT):** A healthy sign is when CFO consistently exceeds PAT. In **FY2026**, Adani Power generated **₹20,514 cr in CFO** against a **PAT of ₹12,971 cr**, resulting in a strong **CFO/PAT ratio of 1.58x**. This indicates that profits were more than backed by cash. While this ratio was weak in FY23 (0.79x) and FY24 (0.68x), the longer-term trend is healthy. The **3-year and 5-year rolled CFO/PAT ratios are solid at 1.21x and 1.20x**, respectively, suggesting strong cash conversion over the cycle.
- **Operating Cash to EBITDA (CFO/EBITDA):** This metric shows how well operating profits (EBITDA) are converted into cash. For a capital-intensive business, a ratio above 60% is generally healthy. In FY2026, this stood at an excellent **88% (₹20,514 cr CFO / ₹23,431 cr EBITDA)**, a significant improvement from prior years. The **3-year average is a healthy 74%**. This reinforces the view that the company's core operations are highly cash-generative.
- **Accruals:** The **Sloan Accruals ratio of -5.2%** is a significant green flag. A negative ratio indicates that cash earnings were greater than accounting earnings, suggesting conservative accounting rather than aggressive recognition of non-cash revenues.
- **Capex & Free Cash Flow (FCF):** The company is in the midst of an enormous expansion cycle. **Capex surged from ₹3,244 cr in FY23 to a massive ₹23,299 cr in FY26**. This heavy investment has resulted in a **negative Free Cash Flow to Firm (FCF) of -₹2,785 cr** in FY2026, a sharp reversal from the positive **₹9,942 cr** in FY2025.
 - While negative FCF is typically a red flag, for a utility undertaking a pre-announced, large-scale capacity expansion, it is expected. The investment thesis hinges on this capex generating future returns.
 - **Free Cash Flow to Equity (FCFE)**, which accounts for debt financing, was positive at **₹12,315 cr** in FY26. This highlights the funding structure for the capex: a combination of operating cash flows and significant new borrowings (**₹15,100 cr** net borrowings raised).

✅ In summary, Adani Power's core earnings quality is high, with profits well-backed by operating cash flow. However, the company is in an aggressive capex phase, making it FCF-negative and reliant on debt to fund its ambitious growth plans.

2. Profitability & returns 📈

This section evaluates the company's ability to generate profits from its revenue and returns from its capital base. We look at margin trends and return ratios like ROE and ROCE.

Adani Power has demonstrated superior profitability and return metrics compared to its peers, though these have moderated from the cyclical peak seen in FY24. The returns are strong enough to justify its growth ambitions.

- **Margin Trajectory:**

- **EBITDA margins** have been volatile but robust, peaking at an exceptional **55.8%** in FY24 before normalizing to **43.2%** in FY26. The most recent quarter (Q1 FY27) saw margins at **44.3%**. These are industry-leading figures, driven by operational efficiencies and a favourable mix of high-realisation PPAs.
- **Net Profit Margin** has followed a similar path, peaking at **41.4%** in FY24 and standing at **23.9%** in FY26. This is vastly superior to peers like Tata Power (**8.2%**) and Torrent Power (**8.5%**), indicating strong cost control and pricing power.

- **Return Ratios:**

- **Return on Equity (ROE):** This measures profitability for shareholders. After a spectacular **48.3%** in FY24, ROE moderated to a still-healthy **19.5%** in FY26. This is significantly above its cost of equity and peer levels.
- **Return on Capital Employed (ROCE):** This measures how efficiently the company uses both debt and equity. ROCE followed a similar trajectory, from **31.2%** in FY24 to **15.7%** in FY26. For a capital-intensive utility, a ROCE in the mid-teens is very respectable and likely well above its weighted average cost of capital (WACC) of ~12.5%.

- **DuPont Analysis (Drivers of ROE):** The high ROE is a function of three levers:

1. **High Net Margins (23.9%):** As discussed, this is a key strength.
2. **Moderate Asset Turnover (0.38x):** This ratio has declined from **0.55x** in FY24. This is expected, as the company has been adding significant assets (capex) to its balance sheet that are yet to become fully productive and generate revenue.
3. **Moderate Leverage (D/E of 0.81x):** While leverage contributes to ROE, the company's debt levels are reasonable for the sector.

✅ **Overall, Adani Power exhibits excellent profitability for a utility, with margins and return ratios that outperform the sector. The recent moderation in returns is a natural consequence of its massive capital expansion, where new assets are yet to contribute fully to the top and bottom lines.**

3. Balance-sheet health

This section examines the company's financial stability, focusing on its debt levels (leverage), ability to service that debt (coverage), and short-term financial resilience (liquidity).

Adani Power's balance sheet, which had been steadily improving, is now re-leveraging to fund its aggressive expansion. However, leverage remains within manageable bounds for a utility, and coverage ratios are comfortable.

- **Leverage:**

- After a significant deleveraging journey where **Net Debt/EBITDA** fell from **2.93x** in FY23 to a low of **1.19x** in FY24, the ratio has started to climb again, reaching **2.25x** as of FY26. The latest figure from the Q1 FY27 debt profile is **2.12x** on a TTM basis (Revised Results Presentation, Q1 FY27, pg 22).
- This increase is a direct result of funding the large capex pipeline. Management has provided crucial guidance on this, stating in the Q1 FY27 concall that they expect the Net Debt/EBITDA ratio to **remain between 2x and 3x** during the capex phase and **"will not cross 3 times at any point"** (Q1 FY27 Concall, pg 12). This provides an important anchor for risk assessment.
- **Debt-to-Equity** has also ticked up to **0.81x** from a low of **0.66x**, but remains below peer averages (e.g., Tata Power at 1.5x).

- **Coverage & Liquidity:**

- **Interest Coverage Ratio** is a robust **5.6x** as of FY26, and strengthened to **8.0x** in the latest quarter (Q1 FY27), indicating ample EBIT to cover interest payments. This provides a significant cushion.
- The **Current Ratio** stands at **1.41x**, signifying that current assets are sufficient to cover current liabilities, indicating good short-term liquidity.
- **Working Capital:** The **Cash Conversion Cycle** has remained stable at **89 days**. A key positive is the steady improvement in **Receivable Days**, which have fallen from **109** in FY23 to **79** in FY26. Management noted on the Q1 FY27 concall that they are receiving regular payments of ~USD100 million per month from the Bangladesh PPA, aiding collections (Q1 FY27 Concall, pg 8).

⚠️ **In conclusion, the balance sheet is under pressure from the ongoing capex, leading to rising debt. However, leverage remains within the management's guided range and is supported by strong operational cash flows and comfortable interest coverage. The improving working capital cycle is a notable positive.**

4. Growth & momentum

This section looks at the company's growth trajectory, examining both long-term trends and recent quarterly performance to see if growth is accelerating or decelerating.

After a temporary slowdown in FY26, Adani Power's growth has re-accelerated sharply, driven by strong power demand and new capacity additions. The company is poised for a new phase of significant growth, underpinned by its massive expansion pipeline.

- **Historical Performance:**

- Revenue growth was explosive from FY22 to FY25, driven by capacity acquisitions and higher merchant tariffs. The company saw a minor revenue de-growth of **-3.5%** in FY26 to **₹54,241 cr**. Management attributed this to "weather-induced demand volatility" and lower merchant prices in that year (Q4 FY26 Concall, pg 5).
- PAT growth has been lumpy but substantial over the long term, culminating in a record profit of **₹20,829 cr** in FY24, before moderating to **₹12,971 cr** in FY26.

- **Recent Momentum (Q1 FY27):** The latest quarterly results show a strong rebound.

- **Revenue surged by 34.0% YoY** to **₹18,902 cr**.
- **Net Profit grew by 47.2% YoY** to **₹4,867 cr**.
- As CEO S B Khyalia noted in the Q1 FY27 concall, this was driven by a "hotter-than-usual summer," with India's peak demand hitting a record 271 GW and APL achieving its "highest ever quarterly power generation of 31 billion units" (Q1 FY27 Concall, pg 3).

- **Future Growth Drivers:** Management has clearly articulated a path to more than double its capacity.

- The company has a **"locked-in" development pipeline of 23.7 GW** in new thermal projects (Investor Presentation, Sept 2026, pg 8).
- The ultimate ambition is to expand the portfolio to **45 GW** (Q1 FY27 Concall, pg 4).
- Management guided for an EBITDA of **₹50,000 cr by FY2031** (Q4 FY26 Concall, pg 15), which implies a near-doubling from the current TTM EBITDA of ~₹25,000 cr.

✅ **Growth has strongly re-accelerated after a brief pause. The company is at the beginning of a multi-year growth cycle fueled by one of the largest private sector capex plans in the country, targeting a doubling of capacity.**

5. Forensic assessment 🕵️

This section provides a check for accounting irregularities and other non-financial red flags. We interpret statistical fraud models and scrutinise disclosures on related parties, contingent liabilities, and other anomalies.

The statistical forensic models are largely clean, and earnings appear well-backed by cash. However, the analysis is marked by the presence of large 'other income' in the past, anomalous tax rates, and the classic Adani Group complexity involving large, debt-funded expansion and inter-group dynamics.

- **Statistical Checks:**

- **Beneish M-Score = -2.49:** This is below the -1.78 threshold, suggesting a **low probability of earnings manipulation**. ✅
- **Altman Z-Score = 4.48:** Comfortably in the **'safe' zone** (>2.99), indicating low bankruptcy risk. ✅
- **Piotroski F-Score = 5/9: A middling score.** The failed parameters (declining ROA, rising leverage, falling current ratio, falling asset turnover) are all characteristic of a company in a heavy capex cycle and are not immediate red flags in this context.
- **Sloan Accruals = -5.2%:** Excellent. Confirms earnings are cash-backed. ✅
- **Benford's Law MAD = 0.0082:** Indicates **acceptable conformity**, suggesting the reported numbers appear natural. ✅

- **Accounting & Disclosure Flags:**

- ⚠️ **Other Income:** While it has reduced, Other Income has been a significant and volatile contributor to profits, especially in FY24 when it stood at **₹9,930 cr (47.8% of PBT)**. This can obscure the quality of core operational earnings and warrants continued monitoring.
- ⚠️ **Tax Rate Anomalies:** The effective tax rate has been highly erratic (negative in FY23, near-zero in FY24, 16.3% in FY26). This is likely due to the accounting treatment of past losses and deferred tax assets/liabilities. It makes year-on-year PAT comparisons less meaningful and reinforces the need to focus on pre-tax metrics like EBIT and EBITDA.
- **Promoter Pledge:** Very low at **3.1%** of promoter holdings, which is a positive. ✅

- **Related-Party & Other Disclosures (from Filings):**

- **Acquisitions:** The company is actively acquiring assets. The Q1 FY27 presentation (pg 15) discloses the acquisition of Jaiprakash Associates' power assets for **₹4,194 Crore**, including a 180 MW plant and stakes in other power ventures. While this fuels growth, acquisitions bring integration risks.
- **Contingent Liabilities:** The provided documents (concall transcripts, presentations) do not contain the detailed 'Notes to Accounts' where contingent liabilities would be quantified. As such, a full assessment of off-balance-sheet risks is not possible from the given data. This is a data limitation. However, in the Q4 FY26 concall, management referred to an ongoing reconciliation process with the Bangladesh Power Development Board, with a dispute resolution mechanism in place involving the Singapore International Arbitration Council if needed (Q4FY26 Concall, pg 9). This points to potential disputes inherent in large contracts.
- **Shareholder Approvals for Debt:** The EGM results from August 14, 2026, show overwhelming shareholder approval for increasing the company's borrowing limits and creating charges on assets. This provides explicit endorsement for the large, debt-funded capex plan.

6. Valuation 📊

This section analyzes the stock's current valuation against its own history, its peers, and its intrinsic value to determine if the price is fair, cheap, or expensive.

Adani Power trades at a very rich valuation on a trailing basis, pricing in a significant amount of future growth. While its superior profitability metrics warrant a premium, the current price offers no margin of safety based on historical performance. The investment case is entirely dependent on the successful execution of its aggressive growth plans.

- **Multiples vs. History & Peers:**

- At a **TTM P/E of 26.0**, the stock is at the **100th percentile** of its 4-year historical range. This means it has rarely been more expensive on a trailing earnings basis.
- The **EV/EBITDA multiple is 16.8x**. This is also at the higher end for a utility.
- Compared to peers, Adani Power's valuation seems steep. However, its financial metrics are in a different league. Its **ROE (19.5%)** and **Net Margin (23.9%)** are multiples of what Tata Power and Torrent Power deliver. The sector Z-scores confirm this: APL is a massive outlier on profitability (ROE Z-score **9.88**, Net Margin Z-score **72.46**). This superior performance justifies a premium, but the question is how much.

- **Reverse DCF (What the Price Implies):**

- This is the most critical valuation tool here. At the current price of **₹196**, the market is embedding a perpetual revenue growth expectation of **~28.1% per year**.
- ● This is an extremely **demanding** assumption, more than double the **11.1%** historical growth rate. It suggests that flawless execution of the entire expansion plan is already priced in.

- **Monte-Carlo DCF (Intrinsic Value Range):**

- The simulation, based on historical performance, yields a median intrinsic value of **₹93 per share**.
- The current price of **₹196** is **2.1 times** this DCF median, indicating a significant premium and **no margin of safety**. The price is near the 'bull case' scenario of ₹210.

- **Forward Valuation (Based on Guidance):**

- There is a crucial counterpoint. In the Q4 FY26 concall, management guided for an EBITDA of **₹50,000 crore by FY2031**. Using the current enterprise value of ~₹431,000 cr, this translates to a **5-year forward EV/EBITDA of ~8.6x**.
- This forward multiple is much more reasonable and suggests that if one believes in management's ability to deliver on its long-term targets, the current valuation might be justifiable as a growth investment.

7. Verdict (the closing section)

Verdict: Hold

Adani Power presents a classic growth-versus-value dilemma. The company is a best-in-class thermal power operator with a clear, ambitious, and "locked-in" growth pipeline that promises to more than double its capacity. Its operational metrics are excellent, with industry-leading profitability, strong cash conversion, and a steadily improving working capital cycle. Recent quarterly results confirm a strong re-acceleration in growth after a temporary lull.

However, the market is fully aware of this potential. The current valuation is extremely demanding, pricing in near-flawless execution of this massive, multi-year capex plan. The stock offers no margin of safety on a historical or DCF basis. The investment is now a bet on future delivery, not on present value. Furthermore, the aggressive expansion is being funded by significant debt, which is causing leverage to rise again.

For a sophisticated investor who can stomach the volatility and has a long-term horizon, Adani Power warrants a **Hold**. The operational strengths and growth visibility are too compelling to ignore, but the valuation is too rich to recommend an aggressive Buy at current levels.

- **Key Reasons for the Verdict:**

1. **Superior Operations:** Best-in-class profitability (ROE 19.5%, ROCE 15.7%), strong cash conversion (3-yr CFO/PAT 1.21x), and efficient working capital management.
2. **Visible Growth Pipeline:** A massive, locked-in 23.7 GW expansion plan provides a clear path to more than doubling capacity and potentially doubling EBITDA by FY31 as per management guidance.
3. **Strong Recent Momentum:** Growth has re-accelerated sharply in Q1 FY27 (+34% revenue YoY), suggesting the business is firing on all cylinders.

- **Main Risks & Red Flags:**

1. **🔴 Demanding Valuation:** The price implies a perpetual growth rate of **~28%**, leaving no room for error. The stock is priced for perfection.
2. **🔴 Execution & Capex Risk:** The success of a capex program of over **₹2 lakh crore** is not guaranteed. Delays, cost overruns, or failure to secure profitable PPAs could derail the investment thesis. FCF will remain negative for the medium term.
3. **⚠️ Rising Leverage:** Net Debt/EBITDA is back on an upward trend (**2.25x**). While management has guided for a ceiling of 3x, this remains the key financial risk to monitor.
4. **⚠️ Group Overhang:** As part of the Adani Group, the company is subject to heightened scrutiny regarding corporate governance and group-level leverage, which can affect investor sentiment.

- **Concrete Things to Watch:**

- **Quarterly Capex & Commissioning:** Track the progress of key projects (Korba, Mahan, Raipur) against their stated timelines.
- **Net Debt to EBITDA:** Ensure this metric remains within the management's guided <3x band each quarter.
- **PPA Tie-ups:** Monitor the progress of securing long-term PPAs for the new and existing untied capacities.
- **Merchant Power Realisations:** Keep an eye on spot power prices, which affect the profitability of the ~20% of volumes sold on the merchant market.

Trading levels & setup

*Computed from the daily price history — support/resistance **zones** (confluence of swing pivots, moving averages, 52-week extremes, volume-by-price and round numbers), market structure, and a reward:risk-framed entry/stop/target. These are **timing levels, not a call** — they defer to the fundamental verdict above.*

Structure: range-bound (no clear trend) · last swing high ₹216 · last swing low ₹200 · close ₹196.14 · ATR 2.9%

In plain English. ADANIPOWER is range-bound — drifting sideways rather than trending, so it tends to swing between a floor (support) and a ceiling (resistance) until it breaks decisively out of that band. At ₹196 it's holding above its nearest floor, ₹152–₹157 — a spot where a prior turning point and a heavy-volume price band all coincide, and the more of those that line up the more likely buyers defend it. The firmest support lower down is ₹139–₹147 (a prior turning point and a heavy-volume price band) — the level to watch on a deeper pullback. The first ceiling above is ₹198–₹202, almost immediately overhead; a break and a daily *close* above it is what would signal the next leg up. **The**

risk/reward is attractive: buying near ₹139–₹147 risks about ₹10 a share (down to the ₹133 stop) to aim at roughly ₹57 of upside (the ₹200 target) — a reward:risk of 5.9:1, comfortably past the ~1.5:1 bar worth taking.

Support zones (nearest first)

Zone (₹)	Confluence	Built from
152–157	●●●●○	a prior turning point and a heavy-volume price band
139–147	●●●●●	a prior turning point and a heavy-volume price band
128–135	●●●○○	the 52-week extreme and a prior turning point

Resistance zones (nearest first)

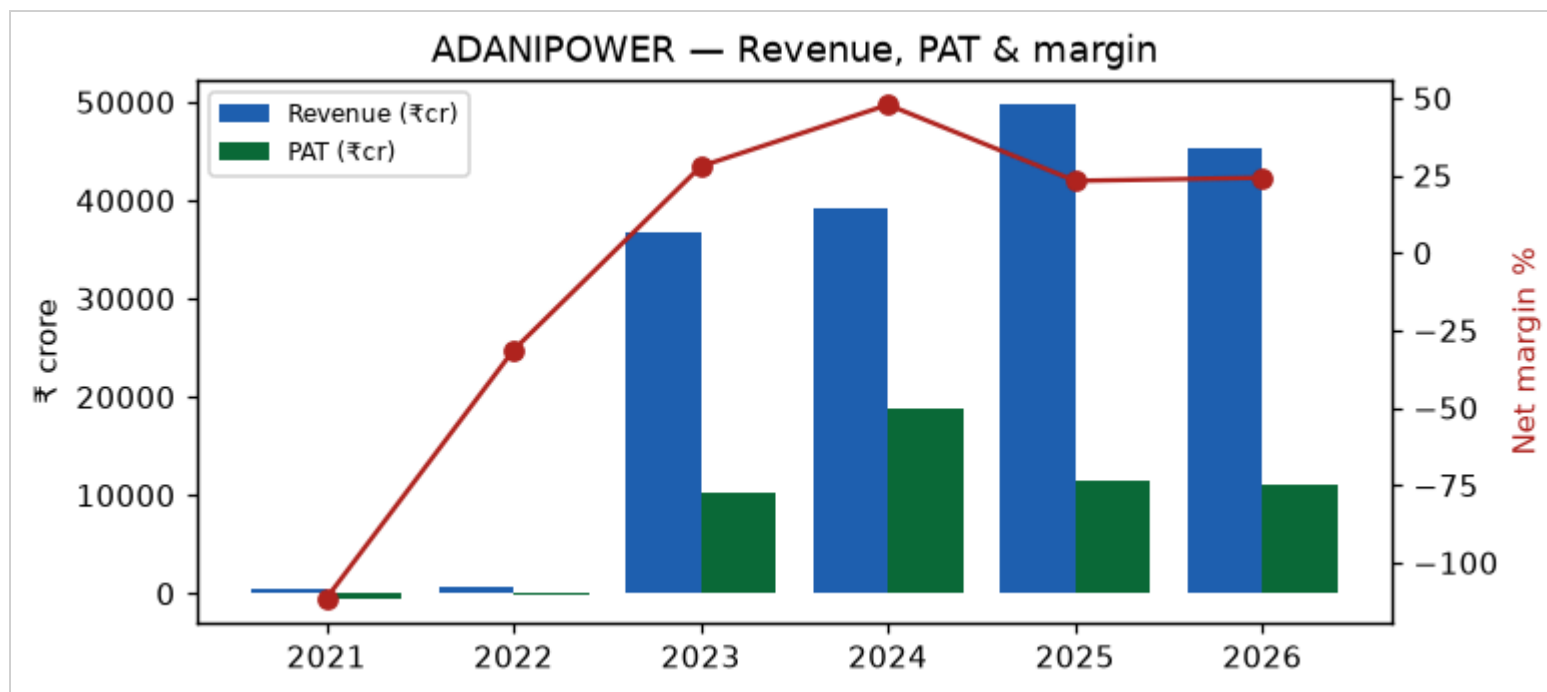
Zone (₹)	Confluence	Built from
198–202	●●●○○	a round number and a prior turning point
206–208	●●○○○	the 20-day average, the 50-day average and a prior turning point
214–217	●●●●●	a prior turning point

Patterns: **Range / consolidation** (neutral) — coiling between ₹155 and ₹200; **Double top** (bearish) — two highs near ₹217; **Head & shoulders** (bearish) — peak ₹217, shoulders ~₹215; **Inverse head & shoulders** (bullish) — trough ₹198, shoulders ~₹201

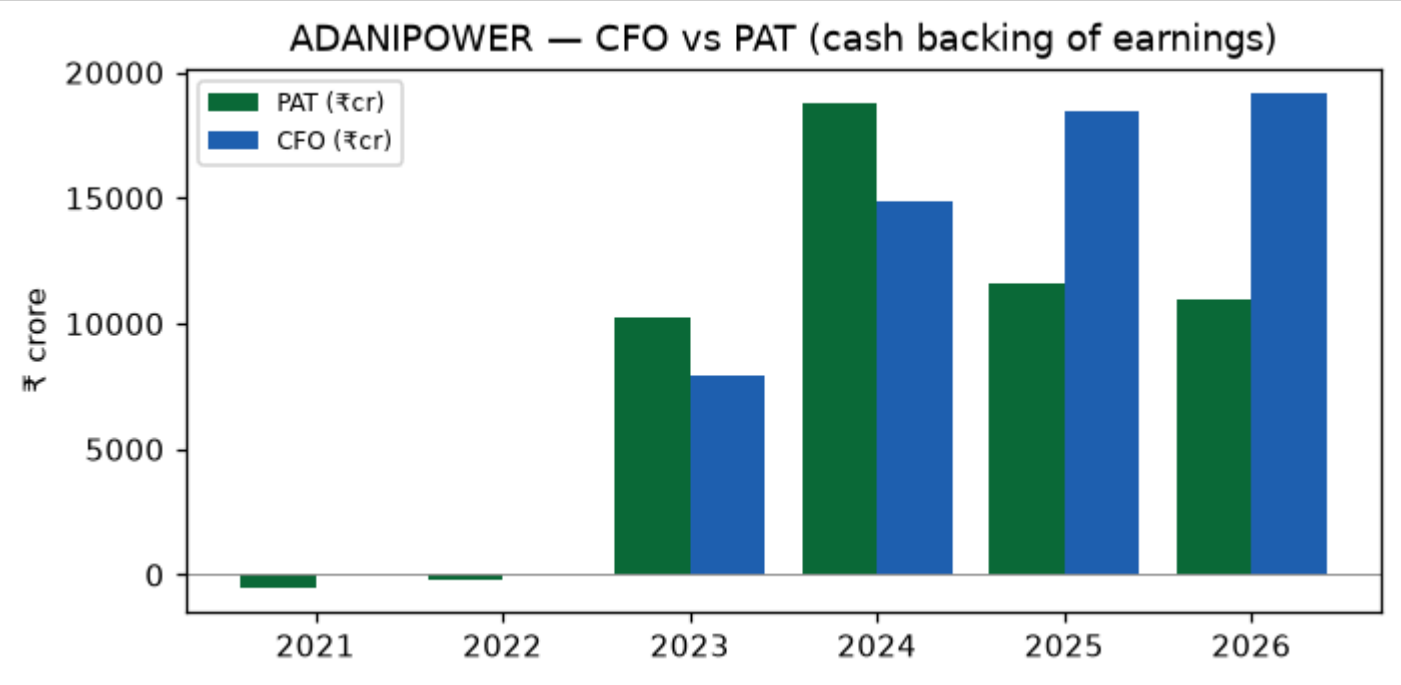
Setup — range structure: Accumulate at the ₹139–₹147 support zone on a pullback; invalidation (stop) below ₹133; first target ₹200 (reward:risk 5.9:1).

*How to read. Support is where buyers have repeatedly stepped in (a floor); resistance where sellers have capped it (a ceiling). A zone backed by more methods — higher confluence (more dots) — and by more volume is a stronger level than any single line. The **stop** is your invalidation: if price closes below it, the setup was wrong, so you exit small rather than hope. **Reward:risk** weighs the distance to the first target against the distance to the stop — below ~1.5:1 the trade isn't worth the risk. Levels are probabilities, not promises, and they never override the fundamental verdict above.*

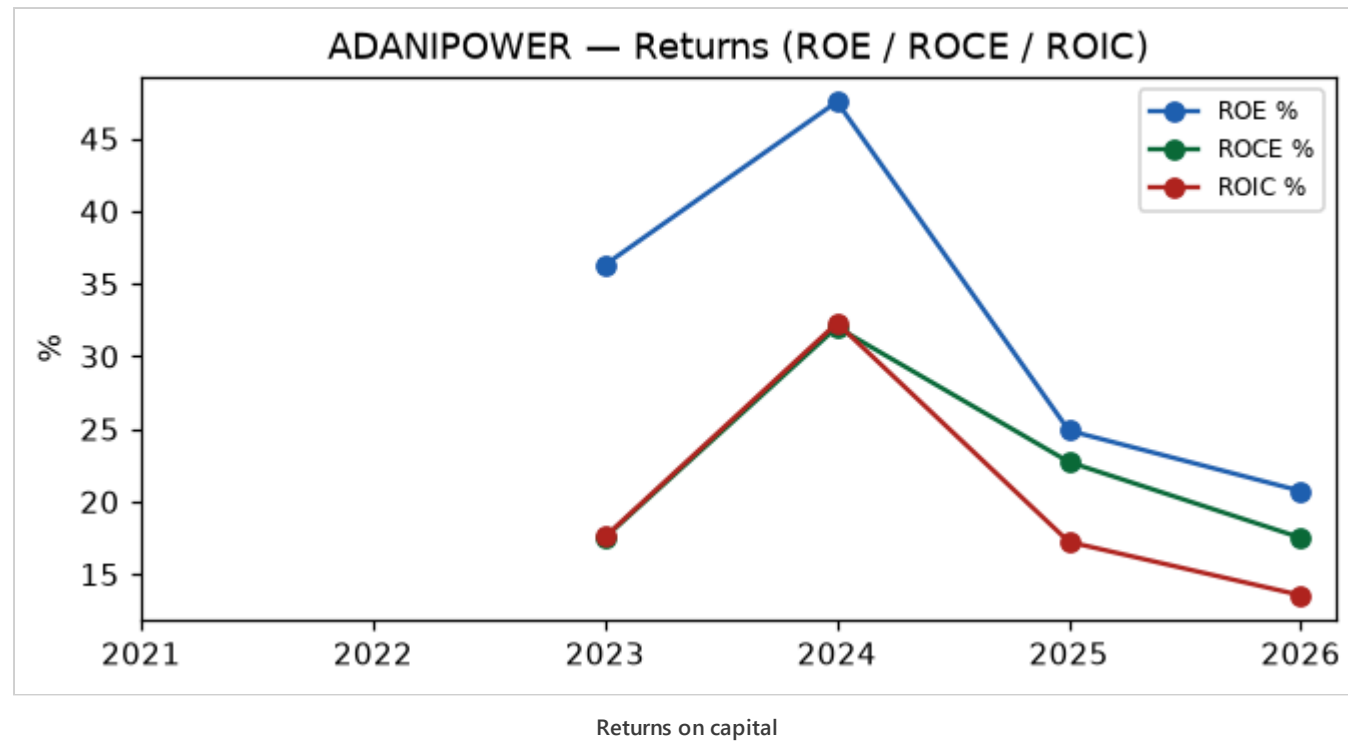
Charts

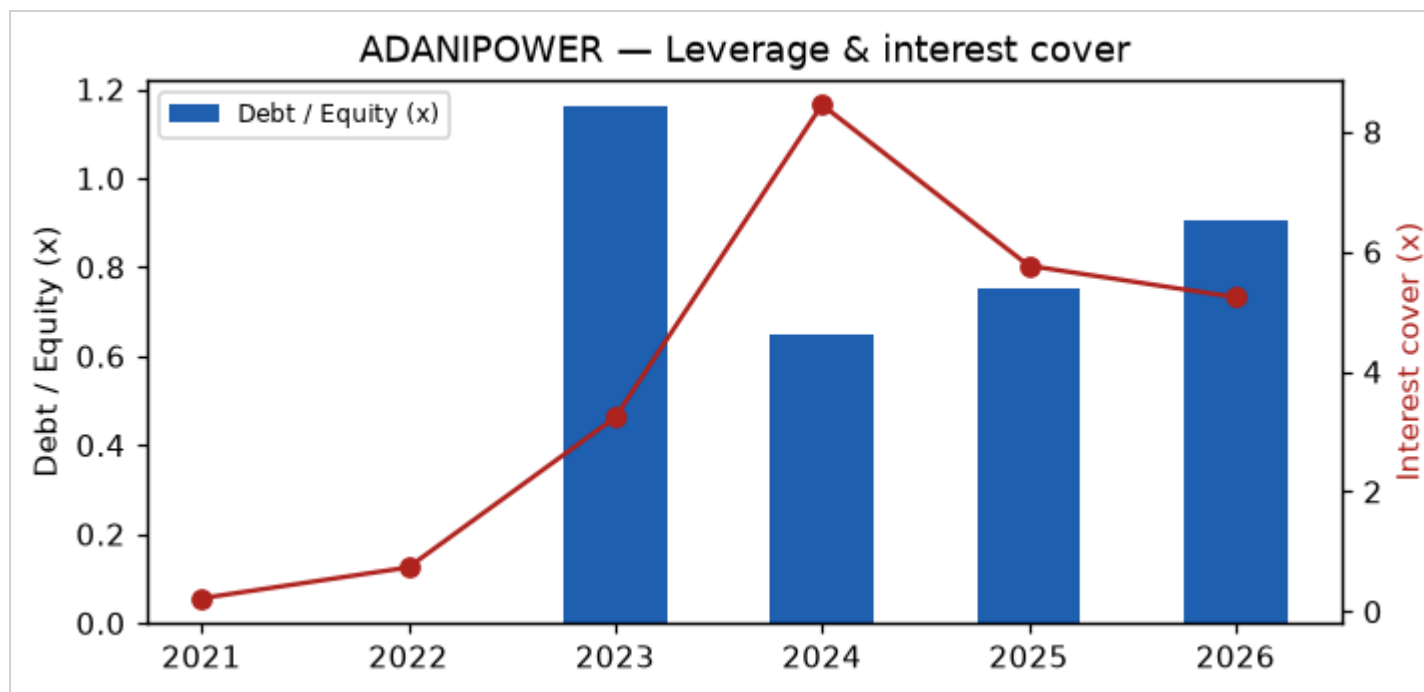


Revenue, PAT & net margin

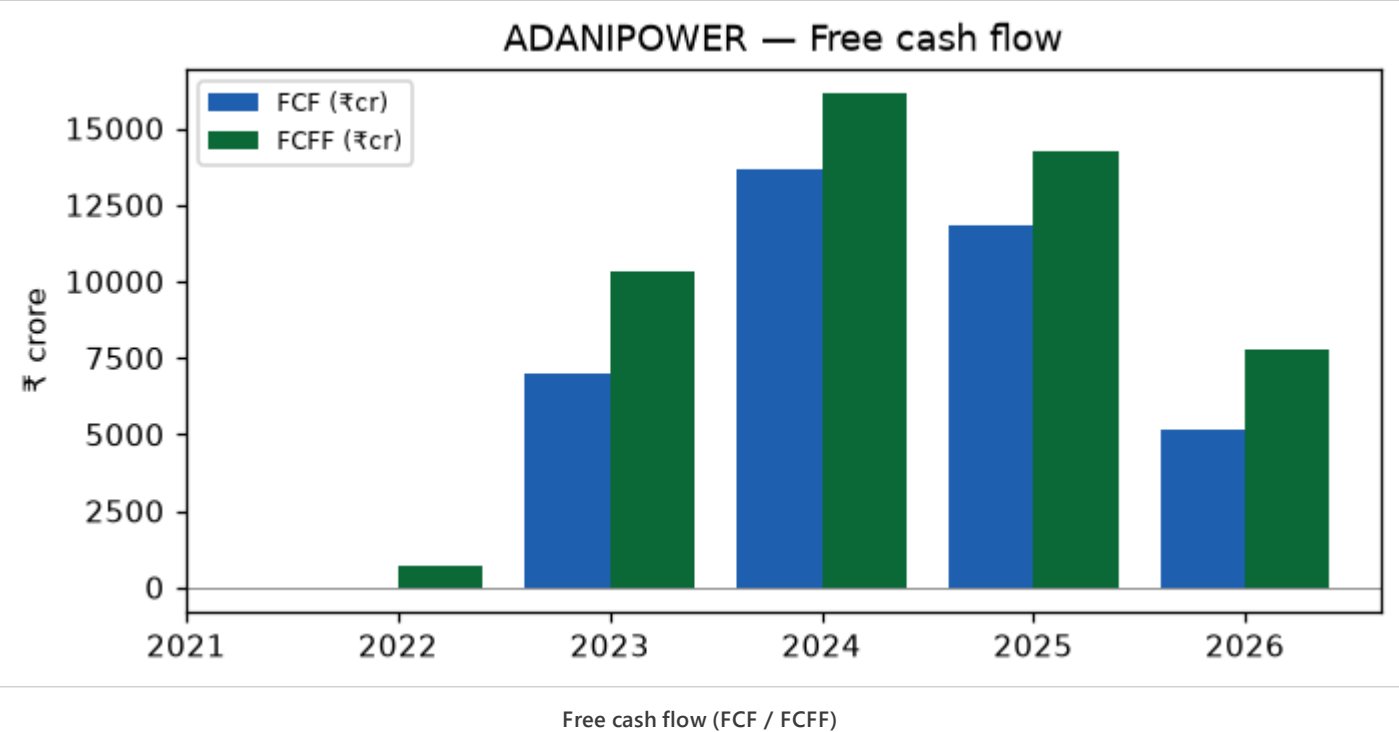


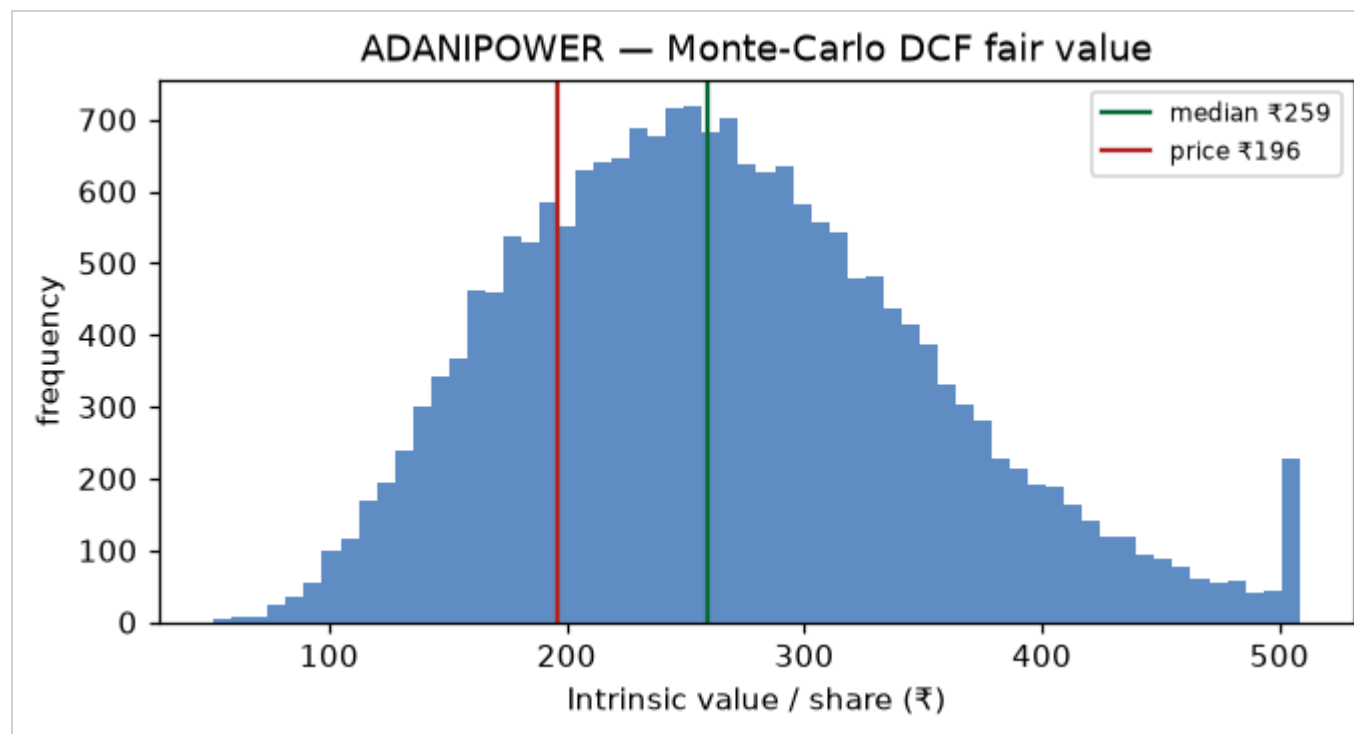
CFO vs PAT — earnings quality



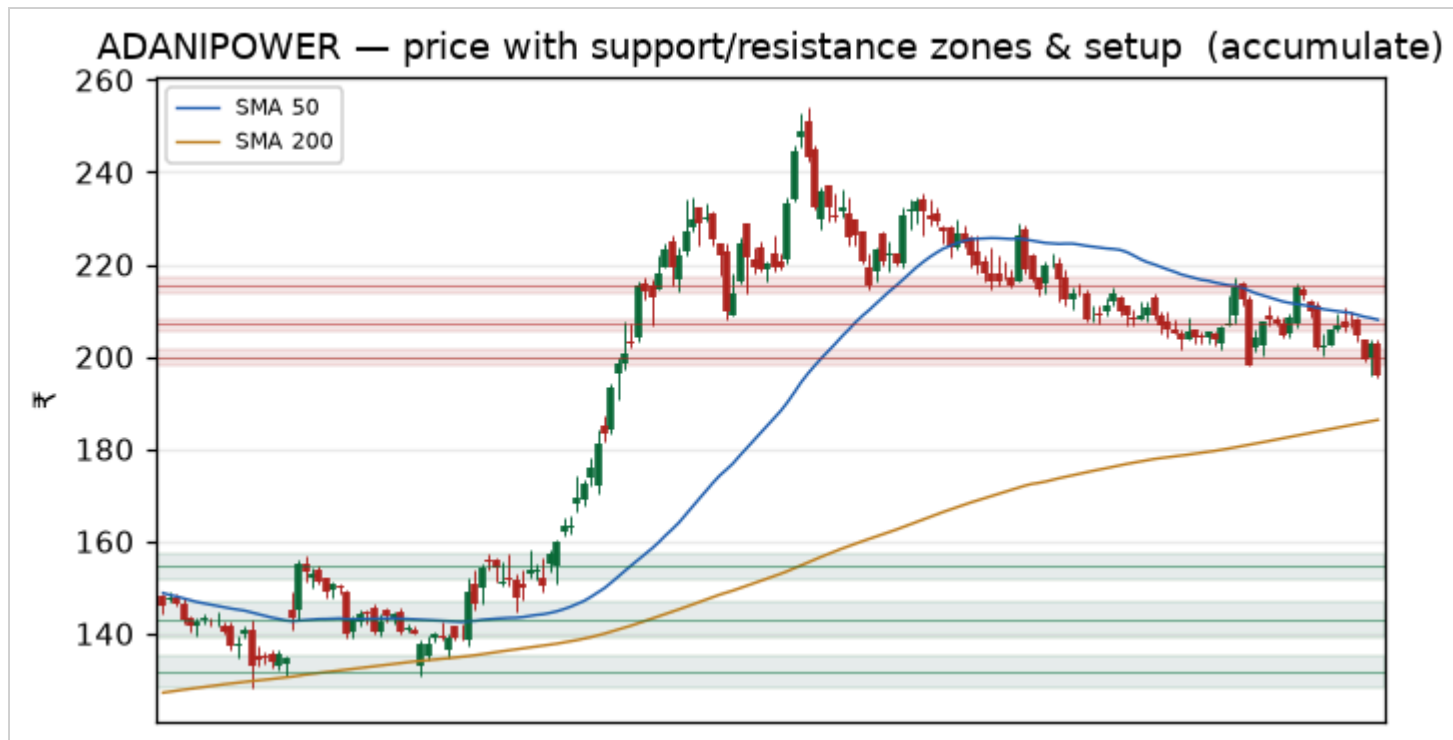


Leverage & interest cover





Monte-Carlo DCF fair-value distribution



ADANIPOWER: last 180 sessions — support (green) / resistance (red) zones, 50 & 200-DMA, and the entry/stop/target setup. Levels are computed, not advice.

⚠ Automated research for personal & educational use only — NOT investment advice, a recommendation, or an offer to buy or sell any security. Figures may be delayed, incomplete, or inaccurate, and AI-generated commentary can contain errors. Verify independently and consult a SEBI-registered investment adviser before acting. You alone are responsible for your investment decisions.